

20 May 2026 04:14:52 ET | 9 pages

China Battery

What's New from Citi Pan-Asia Conference 2026: Takeaways from Meetings with SMM ESS Analyst

CITI'S TAKE

SMM attended the Citi Pan-Asia Conference 2026 and we met with its Senior Analyst on ESS, Ms Li Yisha, as she presented at meetings on May 19. SMM earlier revised up its 2026 global ESS cell shipment forecast to 926GWh, +54% YoY, driven by stronger-than-expected demand from Europe and other overseas markets, plus higher downstream acceptance of large-format cells (500+Ah). Raw material cost inflation, especially lithium carbonate, is a key concern, but the near-term negative impact on cell production may be limited given a long cost pass-through cycle and partial linkage mechanism. Regional divergence is clear: the US market has the strongest cost tolerance, Europe remains supported by attractive economics and policy, while China is more sensitive to project-level IRR and local subsidies. Below we summarize the key takeaways.

Forecast raised: SMM's global ESS cell production forecast was revised up earlier to 979GWh, up 80% YoY; its global ESS cell shipment forecast was lifted to 926GWh for 2026, implying 54% YoY growth. By region, China shipment is expected to be 369GWh, +30% YoY; Europe at 153GWh, +94% YoY; North America at 167GWh, +32% YoY; and other regions at 236GWh, +109% YoY. The upgrade mainly reflected stronger European project momentum and better acceptance of large-format cells, whose cost advantage becomes more meaningful as lithium prices rise.

Europe strength: Europe remains one of the strongest growth markets, according to SMM, supported by larger GWh-scale projects, widening peak-valley spreads, and attractive ancillary service returns. Peak-valley spreads have widened from around €80/MWh to €100/MWh, equivalent to roughly Rmb0.6/kWh, materially higher than China's roughly Rmb0.3/kWh. Policy support also remains positive, including renewable/ESS targets and direct subsidies in markets such as Portugal and Germany, although SMM believes longer-term localization requirements could create supply-chain uncertainty after 2029.

Lithium cost pass-through: Rising lithium carbonate prices may not immediately hit 2026 cell production, according to SMM, as pass-through from cell makers to integrators and then to project owners takes time. Lithium linkage has been largely implemented between cell makers and integrators, but pass-through to end owners remains more difficult, especially for local SOEs, private investors, and overseas customers. SMM expects the impact of the recent lithium price increase may only start to show from June to September at the integrator level and closer to year-end at the project-owner level.

Regional cost tolerance: The US has the strongest ability to absorb higher lithium prices, as local system prices and margins remain high, and Japanese/Korean cells are already much more expensive than Chinese cells. Europe is mixed: higher-return projects can still absorb cost inflation, but lower-return pension-fund-backed projects could be pressured. China is most dependent on local project economics, with node projects and regions such as Inner Mongolia West and Shanxi showing more resilience, while weaker-return provinces may see delays.

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AI DC and sodium-ion: AI data-center ESS demand is still early days but could become an important incremental demand driver. North America AI DC ESS installation is expected at around 13GWh in 2026, rising to 22GWh in 2027, per SMM. The key use case is shifting from in-room backup power to external ESS for grid connection, peak shaving and frequency regulation, requiring 8–12 hours of storage. Sodium-ion could help address long-duration needs but remains costlier than LFP, so it is more likely to be complementary rather than a near-term substitute.

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